Deutsche Bank
Research

Rating
Buy

Asia
China

Consumer
Autos & Auto Technology

Company
# Chery

| Reuters | Bloomberg | Exchange | Ticker |
| --- | --- | --- | --- |
| 9973.HK | 9973 HK | HSI | 9973 |

Date
2 July 2026

Company Update

| | |
| --- | --- |
| Price at 30 Jun 2026 (HKD) | 24.34 |
| Price target - 12mth (HKD) | 43.00 |
| 52-week range (HKD) | 33.48 - 24.20 |
| HANG SENG INDEX | 22,881 |

# Record Overseas Sales Propel Chery's June Volume Rise: +10% YoY/ 4% MoM

Valuation & Risks

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## June Deliveries Rise 10% YoY and 4% MoM Driven by Record Overseas Sales

Largely in line with market expectations, Chery Auto's total June wholesale volume increased 10% YoY and 4% MoM to 240,585 units. The primary growth driver was a record high in monthly overseas sales, which surged 81% YoY and 4% MoM to 185,220 units, attributed to the company's ongoing market expansion efforts in regions like Europe, the introduction of new brands such as Lepas, and successful new product launches like the "Jaecoo J5" compact SUV. This robust overseas performance effectively offset a weak domestic market, which declined 53% YoY to 55,365 units (though up 2% MoM), with the sequential domestic volume recovery due to the launch of the "Luxeed V9" MPV on May 15.

## Sales Volume Rises Sequentially Across All Brands in June

In June, sales volume increased sequentially across all Chery group brands: Chery brand sales rose 1% MoM to 169,516 units; Jetour brand sales climbed 6% MoM to 48,305 units; iCAR brand sales grew 11% MoM to 10,465 units; Exeed brand sales advanced 15% MoM to 6,758 units; and Luxeed brand sales saw a significant 62% MoM increase to 5,541 units.

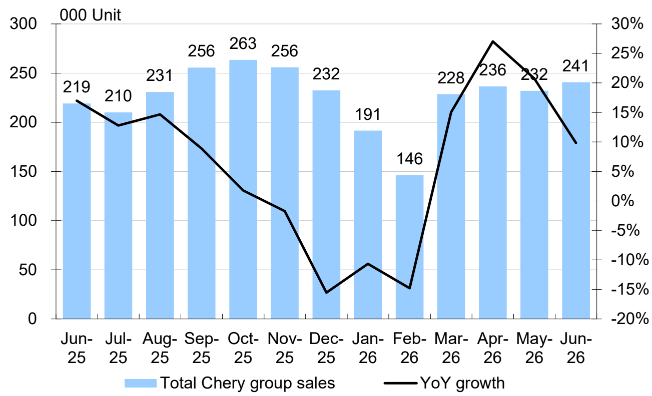
## Forecasts Strong Q2 Profit Growth (up 20% QoQ) Driven by Expanding Overseas Sales

Given Chery's Q2 wholesale volume increased 19% YoY and 25% QoQ to 708,956 units, we expect quarterly revenue to rise 19% YoY and 32% QoQ to RMB 87 billion. We anticipate Q2 gross margin to increase 2.8 percentage points YoY and 0.4 percentage points QoQ to 16.4%, driven by the rising proportion of high-margin overseas sales, which now account for 75% of total volume (up 28.0 percentage points YoY and 8.4 percentage points QoQ). As a result, we expect quarterly net profit to rise 20% QoQ to RMB 5.0 billion (flat YoY).

## Chery Targets 3 Million Unit Sales in 2026, Emphasizing Overseas Growth for Enhanced Profitability

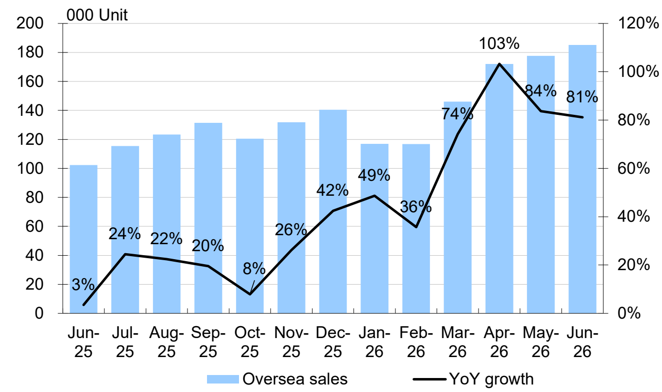
Chery is targeting 3 million unit sales in 2026, representing a 14% YoY increase, with 1.8 million units projected for overseas markets and 1.2 million units for domestic sales. This international push is crucial for profitability, as management indicated that the per-vehicle profit in overseas markets (RMB 10,000-11,000) is nearly double that of the highly competitive domestic market (RMB 5,000-6,000). This improved sales mix, with a greater proportion of higher-margin overseas sales, is expected to drive an overall gross profit margin increase for the company in 2026.

Figure 1: Chery monthly wholesale volume trend




Source : Company data

Figure 2: Chery monthly overseas sales volume trend




Source : Company data

# Appendix 1

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*Other information available upon request

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| Company | Ticker | Recent price* | Disclosure |
|---|---|---|---|
| Chery | 9973.HK | 24.34 (HKD) 30 Jun 2026 | 14, 24 |

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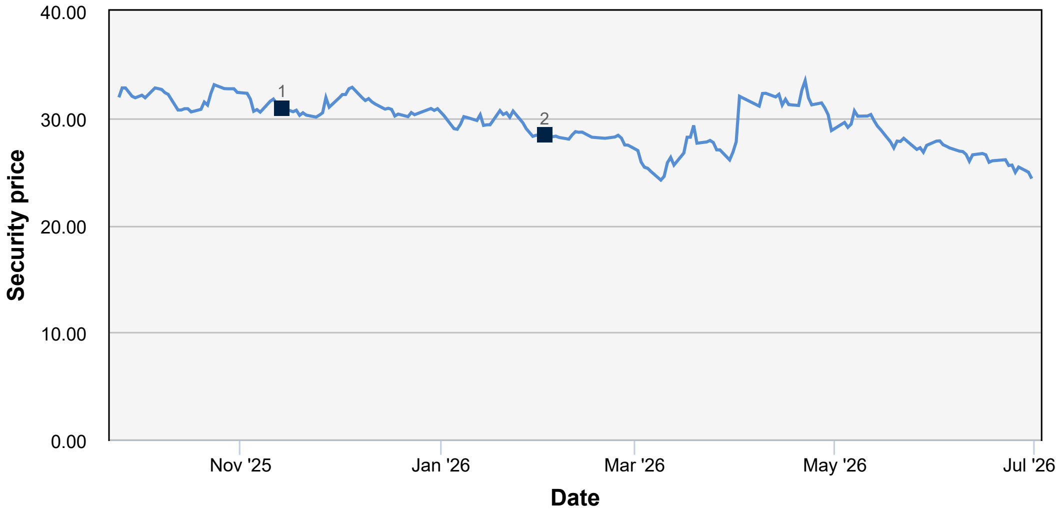
*(as of 06/30/2026)*




Current Recommendations

Buy
Hold
Sell
Not Rated
Suspended Rating

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1. 11/14/2025 Buy, Target Price Change HKD 46.00, Current Price HKD 30.90 Bin Wang

2. 02/02/2026 Buy, Target Price Change HKD 43.00, Current Price HKD 28.44 Bin Wang

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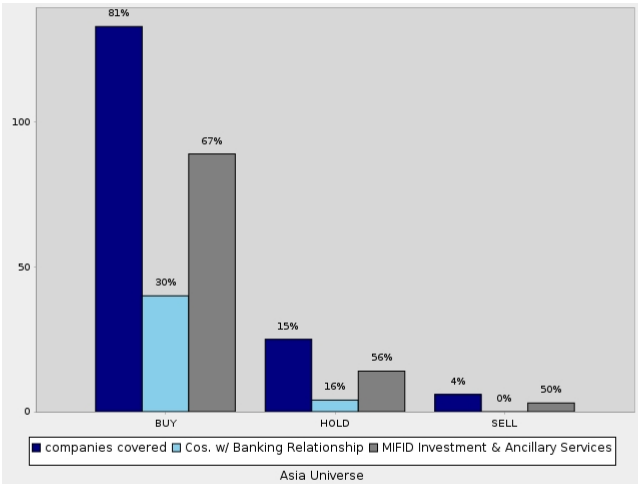


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